1-4a Summary

The transactions of NetSolutions are summarized in Exhibit 6. Each transaction is identified by letter, and the balance of each accounting equation element is shown after every transaction.

Exhibit 6

Summary of Transactions for NetSolutions

	Assets			= Liabilities +	Stockholders' Equity							
	Cash	+ Supp. +	Land	= Accounts Payable +	Common Stock	− Dividends	+ Fees Earned	− Wages Exp.	− Rent Exp.	− Supplies Exp.	− Utilities Exp.	− Misc. Exp.
a.	+25,000				+25,000							
b.	−20,000		+20,000									
Bal.	5,000		20,000		25,000							
c.		+1,350		+1,350								
Bal.	5,000	+1,350	20,000	+1,350	25,000							
d.	+7,500						+7,500					
Bal.	12,500	1,350	20,000	1,350	25,000		7,500					
e.	−3,650							−2,125	−800		−450	−275
Bal.	8,850	1,350	20,000	1,350	25,000		7,500	−2,125	−800		−450	−275
f.	−950			−950								
Bal.	7,900	1,350	20,000	400	25,000		7,500	−2,125	−800		−450	−275
g.		−800								−800		
Bal.	7,900	550	20,000	400	25,000		7,500	−2,125	−800	−800	−450	−275
h.	−2,000					−2,000						
Bal.	5,900	550	20,000	400	25,000	−2,000	7,500	−2,125	−800	−800	−450	−275

26,450 = 26,450

You should note the following:

- The effect of every transaction *is an increase or a decrease in one or more of the accounting equation elements*.
- The two sides of the accounting equation are *always equal*.
- The stockholders' equity is *increased by amounts invested by stockholders (common stock)*.
- The stockholders' equity is *increased by revenues and decreased by expenses*.
- The stockholders' equity is *decreased by dividends paid to stockholders*.